WHY MID-CAPS?

- Promoter- or entrepreneur-driven
- Leaders in emerging sectors
- Niche players in traditional sectors
- Robust business model
- Emerging sectors and businesses
- Often under-researched and lesser known

Bank, which saw its growth go up from Rs 6 billion to Rs 1,058 billion in the same period. Both were in the mid-cap space two decades ago and occupy the large-cap space now. That both of them benefited from the economic growth from 2005 worked in their favour.

CHOOSING MID-CAPS

As always, choosing a stock poses challenges for small retail investors, which is where mid-cap focussed equity mutual funds come in handy. These are funds that aim to benefit from investing the mid-cap space based on investment criteria that they have researched and back-tested. It is a good start to short-list funds based on performance or the investment approach it follows. There is also the usual upside of investing in mutual funds—you get professional management, you can invest in lumpsum or through SIPs over time. You also have the chance to earn big returns, based on the risks involved with the investment approach followed by the fund.

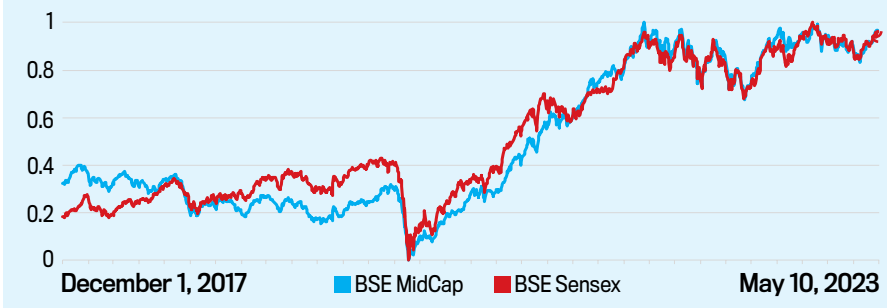
There are about 45 mutual funds in the mid-cap space that have a history of a few months to over a decade. One would have done well staying invested in them for a period of five years or more. The common investment approach is to pick winners from the universe of 150 firms and some outside of the list, depending on the fund's investment model. What matters is the way some fund managers tend to explore certain opportunities that result in superior performance.

Smart investors look into portfolios of successful mid-cap funds and seek opportunities in stocks selected by these funds to invest. This way, they can bet on individual stocks which have been vetted by fund managers running successful funds. Such a move has its share of risks, but often the opportunity to earn more from such tactical moves makes for seeking higher profits. There are also mid-caps that look to raise capital to expand and provide investment opportunities. Skilled investors stand to gain from such opportunities. It allows them to create an additional return on their investments.

Importantly, the mid-cap space is vibrant with opportunities across sectors such as retail, hospitality, healthcare, infrastructure and so on since the Covid-19 rebound. Mid-cap funds with at least 65 per cent exposure to mid-cap stocks provide exposure to companies with growth potential and less risk as compared to small cap stocks. These could be the starting point for exposure in mid-caps and explore select stocks to expand one's mid-cap allocation in their portfolio. As investors, it is important to diversify not just across sectors but also market capitalisation, and mid-caps offer that chance. Follow the basic rule of investing in mid-caps with a five to seven-year time frame and track the performance closely. If you cannot commit yourself to the suggested investment horizon, you should invest in large cap or diversified multi-cap equity mutual funds. Mid-caps are a great idea in a growing economy like India and one could take advantage of this opportunity and build wealth in the long run. ■

–Narayan Krishnamurthy

MID-CAP GAINS



Note: The chart represents normalised data of daily BSE MidCap and BSE Sensex. The mid-cap index compared to the Sensex often dips more than and at the same time, it gains more than the large-cap dominated Sensex. Investors should note, that investing in mid-cap is risky, but so are the rewards.

MID-CAPS PROVIDE AN ABLE ALTERNATIVE FOR INVESTORS TO DERIVE BENEFIT FROM INVESTING IN COMPANIES THAT HOLD PROMISE FOR GAINS IN THE LONG RUN

TACTICAL CALLS

Even if you have a well-diversified portfolio of stocks and mutual funds, from time to time, you could look for smart gains by investing in the mid-cap space based on trends and economic developments. As mid-caps are nimble, they often take strategic calls to increase or decrease exposure to certain sectors and companies. In this way, the performance of